DYNAMIC AIR ENGINEERING (INDIA) PRIVATE LIMITED

CIN No. : U29192TN2008PTC066303

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH, 2023

(All amounts are in Indian Rupees in thousands, except share data and as stated)

GENERAL INFORMATION

Dynamic Air Engineering (India) Private Limited is a private company, incorporated on Feb 05, 2008 with registered office at No. 4, Boopathy Nagar, Industrial Estate, Keelkattalai, Chennai, Tamil Nadu. The Company is engaged in the business of manufacturing and selling Aluminum, Grills, and Dampers & Diffusers and parts for Railway coaches.

NOTE 1 - SIGNIFICANT ACCOUNTING POLICIES

a) Basis of Accounting:

The financial statements have been prepared and presented under the historical cost convention on accrual basis of accounting and mandatory Accounting Standards ('AS') prescribed by Companies (Accounting Standards), Rules 2006 and the relevant provisions of the Companies Act, 2013, to the extent applicable.

b) Use of Estimates

The preparation of the financial statements in conformity with Accounting Standards requires the management to make estimates and assumptions that affect the reported balances of assets and liabilities and disclosures relating to contingent assets and liabilities as at the date of the financial statements and reported amounts of income and expenses during the period. Examples of such estimates include future obligations under employee retirement benefits, income taxes and the useful lives of fixed assets.

c) Fixed Assets:

Items of property, plant and equipment are measured at cost, which includes capitalized borrowing costs less depreciation. Costs include purchase cost and all incidental expenses to bring the assets to the present location and condition. Capital subsidy received for purchase of Plant & Machineries are reduced from the cost of respective assets.

Depreciation in respect of assets are provided on Written down Value Method over the useful lives of the assets as prescribed under schedule II to the Companies Act, 2013.

d) Revenue Recognition:

Revenue from operations includes sale of goods which are recognized when the substantial risks and rewards of ownership in the goods are transferred to the buyer as per the terms of the contract/ Invoice and are recognized net of discounts, sales return and sales tax/value added tax.
interest Income is recognized on time proportion basis taking into account the amount outstanding and the rate applicable

e) **Inventories:**

Stocks of Raw materials, WIP and Finished goods are valued at cost or market value whichever is less.

f) **Government Grants :**

There's no subsidy/grant received during the year.

g) **Employee Benefits:**

Provident Fund

The Company's contribution to provident fund and other social security plans are considered as defined contribution plans and are charged as an expense based on the amount of contribution required to be made and when services are rendered by the employees. The Company has no further payment obligations once the contributions have been paid

The Company provides for gratuity, a defined benefit retirement plan (the "Gratuity Plan") covering eligible employees. In accordance with the Payment of Gratuity Act, 1972. The Gratuity Plan provides a lump sum payment to vested employees at retirement, death, incapacitation or termination of employment, of an amount based on the respective employee's salary and the tenure of employment. Liability towards gratuity is determined on the basis of total no. of completed years of service including first five years.

The Company pays employee state insurance contributions to government administered Employee State Insurance Corporation. The contributions are recognised as employee benefit expense when they are due.

h) **Foreign Currency Transactions:**

a) Transactions denominated in foreign currencies are normally recorded at the exchange rates prevailing at the time of the transaction.
b) Monetary items denominated in foreign currencies at the year end are restated at year end rates.
c) Non-Monitory foreign currency items if any are carried at cost.
d) Gain / Loss on account of exchange difference either on settlement or on year end restatements are recognized in the profit and loss account.

i) **Earnings Per Share (EPS):**

Basic EPS is calculated by dividing the Net Profit or Loss for the year attributable to Equity Shareholders by the weighted average number of Equity Shares outstanding during the year.

j) Leases

Assets acquired under leases where substantially all the risks and rewards of ownership are retained by the company are classified as finance leases. Leased assets are capitalized and depreciated over the lease term or useful life of the asset whichever is lower.

Assets acquired on leases where a significant portion of the risks and rewards of ownership are retained by the lessor are classified as operating leases. Lease rentals are charged to the Profit and Loss Account on accrual basis.

k) Borrowing Cost

Borrowing costs directly attributable to the acquisition, construction or production of a qualifying asset are capitalised during the period of time that is necessary to complete and prepare the asset for its intended use or sale. Other borrowing costs are expensed in the period in which they are incurred and reported in finance costs

l) Taxes On Income:

Income taxes are computed using the tax effect accounting method, where taxes are accrued in the same period the related revenue and expenses arise. A provision is made for income tax annually, based on the tax liability computed, after considering tax allowances and exemptions. Provisions are recorded when it is estimated that a liability due to disallowances or other matters is probable. The differences that result between the profit considered for income taxes and the profit as per the financial statements are identified, and thereafter a deferred tax asset or deferred tax liability is recorded for timing differences, namely the differences that originate in one accounting period and reverse in another, based on the tax effect of the aggregate amount being considered. The tax effect is calculated on the accumulated timing differences at the end of an accounting period, based on prevailing enacted or substantially enacted regulations. Deferred tax assets are recognised only if there is reasonable certainty that they will be realized and are reviewed for the appropriateness of their respective carrying values at each balance sheet date.

m) Contingent Liabilities & Provision:

In terms of the requirements of the Accounting Standard 29 (AS 29) on "Provisions, Contingent Liabilities and Contingent Assets" issued by the Institute of Chartered Accountants of India:

- where, as a result of past events, there is a present obligation that probably requires an outflow of resources and a reliable estimate can be made of the amount of obligation- an appropriate provision is created and disclosed;

- where, as a result of past events, there is a possible obligation that may, but probably will not require an outflow of resources- no provision is recognized but appropriate disclosure made as contingent liabilities unless the possibility of outflow is remote.

M/S DYNAMIC AIR ENGINEERING INDIA PRIVATE LIMITED

CIN No. : U29192TN2008PTC066303

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 MARCH 2023

(All amounts are in Indian Rupees in thousands, except share data and as stated)

Note 2 - Share capital

Particulars	As at 31-Mar-2023	As at 31-Mar-2022
Authorised		
65,00,000 Equity Shares of Rs 10 each	6,50,00,000	6,50,00,000
Issued		
28,50,000 Equity Shares of Rs 10 each	2,85,00,000	2,85,00,000
Subscribed & Paid up		
28,50,000 Equity Shares of Rs. 10 each fully paid	2,85,00,000	2,85,00,000
Total	**2,85,00,000**	**2,85,00,000**

Reconciliation of the number of shares outstanding at the beginning and at the end of the reporting period

Particulars	As at March 31, 2023		As at March 31, 2022	
	Number	Amount	Number	Amount
Shares outstanding at the beginning of the year	28,50,000	2,85,00,000	28,50,000	2,85,00,000
Shares Issued during the year	-	-	-	-
Shares bought back during the year	-	-	-	-
Shares outstanding at the end of the year	28,50,000	2,85,00,000	28,50,000	2,85,00,000

Shares in the company held by each shareholder holding more than 5 percent shares

Name of Shareholder	As at March 31, 2023		As at March 31, 2022	
	No. of Shares held	% of Holding	No. of Shares held	% of Holding
K . Karthikeyan	27,61,000	96.88%	27,61,000	96.88%
Girija Karthikeyan	89,000	3.12%	89,000	3.12%
Total	**28,50,000**	**100%**	**28,50,000**	**100%**

Shares held by promoters at the end of the year

Promoter name	No of Shares	% of Total shares	% change during the year
K . Karthikeyan	27,61,000	96.88%	-
Girija Karthikeyan	89,000	3.12%	-
TOTAL	**28,50,000**	**100.00%**	**-**

Note 3 - Reserves and surplus

Particulars	As at March 31, 2023	As at March 31, 2022
Share Premium	**16,200.00**	**16,200.00**
Surplus		
Opening balance	47,149.63	39,257.51
(+) Net Profit/(Net Loss) For the current year	6,927.73	7,892.12
	54,077.36	**47,149.63**
Closing Balance	**70,277.36**	**63,349.63**

M/S DYNAMIC AIR ENGINEERING INDIA PRIVATE LIMITED
CIN No. : U29192TN2008PTC066303
NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 MARCH 2023
(All amounts are in Indian Rupees in thousands, except share data and as stated)

NON CURRENT LIABIALITIES

Note 4 - Long Term Borrowings

Particulars	As at March 31, 2023	As at March 31, 2022
Secured Loans		
(a) Vehicle HP Loans (Secured against Hypothecation of specific vehicles)	4.00	486.61
(b) Loans - Secured against factory plot & building, machineries & equipments and Properties of relative of director and personal guarantee of the Directors	1,42,700.20	1,35,912.37
Total	**1,42,704.20**	**1,36,398.97**

Note 5 - Deferred Tax liability / (Asset) (Net)

Particulars	As at March 31, 2023	As at March 31, 2022
Deferred Tax Liability arising on account of		
i. Block of assets	3,319.03	3,088.18
ii. Others	-	-
Gross deferred tax liability	**3,319.03**	**3,088.18**
Deferred Tax Asset arising on account of		
i. Block of assets	-	-
ii. Others	131.02	206.69
Gross deferred tax asset	**131.02**	**206.69**
Closing Deferred Tax Liabilty / (Asset) - Net	**3,188.02**	**2,881.49**

Note 6 - Long Term Provisions

Particulars	As at March 31, 2023	As at March 31, 2022
Provision for employee benefits	470.94	742.96
Total	**470.94**	**742.96**

Note 7 - Short Term Borrowings

Particulars	As at March 31, 2023	As at March 31, 2022
(a) Indian Bank - CC Account (Secured against receivables, stock & book debts)	1,22,484.21	37,687.91
(b) NSIC- Loan against guarantee	19,087.70	29,505.83
(c) Current maturities of long term borrowings		
Secured Loans		
(a) Vehicle HP Loans - Banks (Secured against Hypothecation of vehicles)	454.60	406.05
(c) Loan from Banks (Secured against factory plot & building, machineries & equipments, property of relative of director and personal guarantee of the directors)	56,539.62	40,104.00
Total	**1,98,566.14**	**1,07,703.80**

Note 8 - Trade Payable

Particulars	As at March 31, 2023	As at March 31, 2022
(i) Trade payables - Related Party	7,265.76	7,419.66
(ii) Payables - for Capital Goods	1,759.17	1,725.96
(iii) Payables - for Raw Materials	60,865.76	67,715.61
(ii) Payables - Others	33,869.28	4,894.84
Total	**1,03,759.97**	**81,756.07**

Trade payable ageing schedule as on 31st Mar 2023

Particulars	Outstanding for following periods from due date of payment			
	Less than 1 year	1-2 years	2-3 years	More than 3 years
(i) MSME	-	-	-	-
(ii) Others	1,03,639.81	21.70	98.46	-
(iii) Disputed dues- MSME	-	-	-	-
(iv) Disputed dues-Others	-	-	-	-

Trade payable ageing schedule as on 31st Mar 2022

Particulars	Outstanding for following periods from due date of payment			
	Less than 1 year	1-2 years	2-3 years	More than 3 years
(i) MSME	-	-	-	-
(ii) Others	79,153.32	337.76	1,044.25	1,220.74
(iii) Disputed dues- MSME	-	-	-	-
(iv) Disputed dues-Others	-	-	-	-

M/S DYNAMIC AIR ENGINEERING INDIA PRIVATE LIMITED

CIN No. : U29192TN2008PTC066303

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 MARCH 2023

(All amounts are in Indian Rupees in thousands, except share data and as stated)

Note 9 - Other Current Liabilities

Particulars	As at March 31, 2023	As at March 31, 2022
(a) Dues to Related Parties	224.63	1,132.69
(b) Outstanding expenses		
(i) Salary and wages Payable	2,158.59	1,852.47
(ii)Other Expenses Payable	1,981.79	1,575.67
(c) Statutory Dues		
(i) TDS/TCS Payable	1,381.99	5,482.77
(ii) GST Payable	1,272.31	-
(iii) ESI & PF Payable	27.10	29.77
(d) Others	183.03	324.84
Total	**7,229.45**	**10,398.22**

Related Party Transactions

Other Current Liabilities-Others	As at March 31, 2023	As at March 31, 2022
Karthikeyan	129.77	520.37
Girija Karthikeyan	94.86	612.32
Total	**224.63**	**1,132.69**

Note 10 - Short term provisions

Particulars	As at March 31, 2023	As at March 31, 2022
Provision for Income Tax		
Opening Balance	5,110.12	3,220.77
Less: Payments/adjustments made during the year	5,110.12	3,223.84
	-	**(3.07)**
Add : Provision for current year tax	2,876.26	5,113.19
Total	2,876.26	**5,110.12**

Note 12 - Other Non-Current Assets

Particulars	As at March 31, 2023	As at March 31, 2022
Lease Deposits	9,000.00	9,000.00
Telephone and electricity deposits	1,017.96	717.88
Rental advance	661.00	766.00
Total	**10,678.96**	**10,483.88**

CURRENT ASSETS

Note 13 - Inventories

Particulars	As at March 31, 2023	As at March 31, 2022
Closing Stock of RM, WIP and Finished Goods (Valued and certified by Management)		
Raw materials	72,844.88	58,174.19
Work in progress	53,582.04	25,014.14
Finished Goods	23,298.08	11,313.05
Total	**1,49,725.00**	**94,501.38**

M/S DYNAMIC AIR ENGINEERING INDIA PRIVATE LIMITED
CIN No. : U29192TN2008PTC066303
NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 MARCH 2023
(All amounts are in Indian Rupees in thousands, except share data and as stated)

Note 11 - Property, Plant & Equipment and Intangible Assets

	Fixed Assets	Gross Block			Accumulated Depreciation			Net Block	
		Balance as at 01 April 2022	Additions/ (Disposals)	Balance as at 31 March 2023	Balance as at 01 April 2022	Depreciation for the year	Balance as at 31 March 2023	Balance as at 01 April 2022	Balance as at 31 March 2023
I	**Property, Plant & Equipment**								
a	Land	24,942.54	-	24,942.54	-	-	-	24,942.54	24,942.54
b	Factory Building	82,773.61	2,300.00	85,073.61	28,012.35	5,351.27	33,363.62	54,761.25	51,709.99
c	Computers & Peripherals	1,673.18	448.50	2,121.68	1,319.69	393.61	1,713.31	353.49	408.38
d	Air Conditioners	199.78	34.61	234.40	184.79	11.71	196.49	15.00	37.90
e	Plant & Machineries	2,12,012.57	33,231.41	2,45,243.97	1,02,396.97	23,051.02	1,25,447.99	1,09,615.60	1,19,795.98
f	Invertor	25.50	-	25.50	24.22	-	24.22	1.28	1.28
g	Telephone Instruments	20.95	-	20.95	20.55	-	20.55	0.40	0.40
h	Office Equipments	851.43	264.72	1,116.15	642.25	143.53	785.78	209.18	330.37
i	Vehicles	9,433.52	799.08	10,232.61	6,409.42	864.50	7,273.93	3,024.10	2,958.68
j	Electrical Installations	19,682.89	1,303.92	20,986.81	12,701.94	1,955.56	14,657.50	6,980.94	6,329.30
k	Furniture & Fixtures	1,718.81	461.95	2,180.76	1,098.01	253.34	1,351.35	620.80	829.40
II	**Intangible Assets**								
a	Software	480.00	-	480.00	125.42	223.95	349.37	354.58	130.63
	Total	**3,53,814.78**	**38,844.19**	**3,92,658.96**	**1,52,935.61**	**32,248.50**	**1,85,184.11**	**2,00,879.16**	**2,07,474.85**

For and on behalf of the Board of Directors of
DYNAMIC AIR ENGINEERING INDIA PRIVATE LIMITED

DYNAMIC AIR ENGINEERING (INDIA) PVT. LTD. CHENNAI 600 117

K . KARTHIKEYAN
Director
DIN : 01924065

GIRIJA KARTHIKEYAN
Director
DIN : 03329379

PLACE: CHENNAI
DATE: 04-09-2023

As per our report of even date
For S.Ravi & Associates
Chartered Accountants
Firm Reg No: 009261S

S. RAVI & ASSOCIATES CHENNAI 600 004. CHARTERED ACCOUNTANTS

S.RAVI
Proprietor
M No: 204618

M/S DYNAMIC AIR ENGINEERING INDIA PRIVATE LIMITED

CIN No. : U29192TN2008PTC066303

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 MARCH 2023

(All amounts are in Indian Rupees in thousands, except share data and as stated)

Note 14 - Trade Receivables

Particulars	As at March 31, 2023	As at March 31, 2022
- Unsecured, considered good	1,45,526.09	94,696.74
Total	**1,45,526.09**	**94,696.74**

Trade Receivables ageing schedule as on 31st Mar 2023

Particulars	Outstanding for following periods from due date of payment				
	Less than 6 months	6 months - 1 year	1-2 years	2-3 years	More than 3 years
Undisputed Trade Receivables- considered good	1,40,274.03	4,996.26	255.80	-	-
Undisputed Trade Receivables- considered doubtful	-	-	-	-	-
Disputed Trade Receivables- considered good	-	-	-	-	-
Disputed Trade Receivables- considered doubtful	-	-	-	-	-

Trade Receivables ageing schedule as on 31st Mar 2022

Particulars	Outstanding for following periods from due date of payment				
	Less than 6 months	6 months - 1 year	1-2 years	2-3 years	More than 3 years
Undisputed Trade Receivables- considered good	91,112.53	3,367.64	216.57	-	-
Undisputed Trade Receivables- considered doubtful	-	-	-	-	-
Disputed Trade Receivables- considered good	-	-	-	-	-
Disputed Trade Receivables- considered doubtful	-	-	-	-	-

Note 15 - Cash and cash equivalents

Particulars	As at March 31, 2023	As at March 31, 2022
a. Balances with banks		
In current accounts		
- Indian bank	95.58	480.76
- Indian Overseas bank	0.40	28.66
In deposit accounts		
- HDFC and SIDBI	8,130.00	8,144.97
b. Cash in hand	29.00	19.25
Total	**8,254.98**	**8,673.64**

Note 16 - Other current assets

Particulars	As at March 31, 2023	As at March 31, 2022
Deposits		
Security Deposits	6,786.67	8,991.49
Balance with Revenue Authorities		
Advance tax	2,000.00	3,000.00
Income Tax Refund due	-	1.64
TDS Receivable	866.63	635.75
GST Input Credits & Cash Balances	5,978.21	12,956.53
Others		
Advance for Capital Goods	1,200.00	600.00
Others	19,080.94	1,421.04
Total	**35,912.46**	**27,606.45**

M/S DYNAMIC AIR ENGINEERING INDIA PRIVATE LIMITED
CIN No. : U29192TN2008PTC066303
NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 MARCH 2023
(All amounts are in Indian Rupees in thousands, except share data and as stated)

Note 17 - Revenue from operations

Particulars	2022-2023	2021-2022
Taxable Supplies	6,84,834.22	4,55,147.36
Zero Rated Supplies	9,538.48	5,645.84
Total	**6,94,372.70**	**4,60,793.21**

Note 18 - Other income

Particulars	2022-2023	2021-2022
Interest on deposits	613.62	391.31
Other income	24.07	337.27
Total	**637.69**	**728.58**

Note 19 - Cost of materials consumed & Direct expenses

Particulars	2022-2023	2021-2022
Raw Materials Consumed & Direct expenses	5,64,890.19	2,98,996.88
Carriage Inwards	3,301.27	1,808.93
Rent - Factory	1,401.70	1,498.50
Electricity & Power	9,573.31	6,722.77
Wages & Other Direct Expenses	58,364.31	34,518.85
Total	**6,37,530.77**	**3,43,545.92**

Note 20 - Changes in inventories of finished goods, work-in-progress and stock in Trade

Particulars	2022-2023	2021-2022
Opening Stock :		
Work-in-Process	25,014.14	9,882.05
Finished Goods	11,313.05	35,225.01
Closing Stock :		
Work-in-Progress	53,582.04	25,014.14
Finished Goods	23,298.08	11,313.05
Decrease / (Increase) in Inventories	**(40,552.93)**	**8,779.87**

Note 21 - Employee Benefits Expense

Particulars	2022-2023	2021-2022
(a) Salaries and incentives	3,958.08	1,889.90
(b) Director Remuneration	3,600.00	18,000.00
(c) Staff Welfare	1,294.04	724.79
(d) Contribution to EPF and ESI	196.57	186.06
(e) Gratuity	(250.04)	-
Total	**8,798.64**	**20,800.74**

Note 22 - Finance Costs

Particulars	2022-2023	2021-2022
(a) Loan/Overdraft Processing Fee	157.70	196.12
(b) Interest on Bill discounting & charges	3,170.53	2,461.58
(c) Interest on Term loans & OCC	22,715.45	22,542.97
(d) Interest on Vehicle loan	46.08	51.09
Total	**26,089.77**	**25,251.75**

M/S DYNAMIC AIR ENGINEERING INDIA PRIVATE LIMITED
CIN No. : U29192TN2008PTC066303
NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 MARCH 2023
(All amounts are in Indian Rupees in thousands, except share data and as stated)

Note 23 - Other expenses

Particulars	2022-2023	2021-2022
A. Administrative Expenses		
Advertisement	85.55	23.73
Printing & Stationery	357.86	181.23
Communication	270.98	183.56
Travelling Expenses	939.27	349.99
Insurance	541.78	458.37
Repairs and Maintenance		
Building	249.61	672.19
Others	6,174.81	4,193.97
Brokerage & Commission	991.55	109.61
Professional charges & consultancy charges	2,433.04	811.88
Rates and taxes	137.56	62.50
Office Expenses	1,501.35	3,284.66
Interest on Delay in payment of taxes	1,003.23	500.46
Liquidty Damages	-	217.76
Bank Charges	2,309.40	3,014.97
Payments to the auditor as		
a. auditor	175.00	175.00
b. Other services		
Total (A)	**17,171.00**	**14,239.88**
B. Selling expenses		
Carriage Outward	3,530.72	5,461.54
Business Promotion	83.39	-
Total (B)	**3,614.11**	**5,461.54**
Total (A) + (B)	**20,785.11**	**19,701.42**

Note 24. Earnings per Share

Basic earning per share (EPS) computed in accordance with the accounting standards

Particulars	2022-23	2021-22
Profit/(Loss) After Tax	6,927.73	7,892.12
Weighted Average Number of Shares (Basic)	28,50,000	28,50,000
Weighted Average Number of Shares (Diluted)	28,50,000	28,50,000
EPS (Basic)	2.43	2.77
EPS (Diluted)	2.43	2.77

Note 25: Related Party Disclosure

As per the Accounting Standard on 'Related Party Disclosures' (AS 18), issued by the Institute of Chartered Accountants of India, the related parties of the company are as follows:

Sl No.	Party	Relation
1	Karthik Industries	Proprietor is a relative of a Director
2	K. Karthikeyan	Key Managerial Personnel
3	Girija Karthikeyan	Key Managerial Personnel
4	R. Kothandam	Relative of a Director

Note: The above information has been determined to the extent such parties have been identified on the basis of information obtained by the company which has been relied upon by the Auditors.

The nature and volume of transactions of the company during the year, with the above related parties were as follows:

Sl No	Party Name	Nature of Transaction	2022-23	2021-22
1	R. Kothandam	Rent	360.00	360.00
2	Karthik Industries	Services received *	10,041.54	12,433.86
3	K. Karthikeyan	Remuneration	2,400.00	12,000.00
4	Girija Karthikeyan	Remuneration	1,200.00	6,000.00

** Note : Amount reported is exclusive of GST*

Balances outstanding as on 31-03-2023

Particulars	R. Kothandam	Karthik Industries	K. Karthikeyan	Girija Karthikeyan
Debit	-	-	-	-
Credit	1,325.28 (1,001.28)	7,265.76 (7,419.66)	129.77 (520.38)	94.86 (612.32)

DYNAMIC AIR ENGINEERING (INDIA) PRIVATE LIMITED

CIN No. : U29192TN2008PTC066303

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH, 2023

(All amounts are in Indian Rupees in thousands, except share data and as stated)

Note 26: Transactions in Foreign Currency

(On accrual basis)

Particulars	2022-23	2021-22
Earnings in Foreign Currency during the year	614.69	41.66
Expenditure in Foreign Currency during the year		
Purchase of raw material	1905.38	362.50
Purchase of Capital Goods	NIL	NIL

Note 27: Payment to Directors

Particulars	2022-23	2021-22
Remuneration to Directors	3,600.00	18,000.00

Note 28: Payment to Auditors

Particulars	2022-23	2021-22
Statutory and Tax Audit fees	175.00	175.00

Note 29 : Deferred Tax Liabilities:

Particulars	31-03-2023	31-03-2022
a. Opening Balance of Deferred Tax Liability/ (Asset)	2,881.49	4,666.31
b. Deferred Tax Liability / (Asset) on account of difference between book and tax base of fixed assets	306.53	(1,784.82)
c. Others	-	-
c. Closing Balance of Deferred Tax Liability / (Asset)	3188.02	2,881.49

Note 30: Dues to Micro Enterprises and Small Enterprises and Others

The management has initiated the process of identifying enterprises which have provided goods and services to the Company and which qualify under the definition of micro and small enterprises, as defined under Micro, Small and Medium Enterprises Development Act, 2006. Accordingly, the disclosure in respect of the amounts payable to such enterprises as at 31 March 2023 has been made in the financial statements based on information received and available with the Company. Further in the view of the management, the impact of interest, if any, that may be payable in accordance with the provisions of the Act is not expected to be material. The Company has not received any claim for interest from any supplier under the said Act.

Particulars	For the year ended 31st March 2023	For the year ended 31st March 2022
The principal amount and the interest due thereon remaining unpaid to any supplier as at the end of each accounting period;	Nil	Nil
The amount of interest paid by the Company along with the amounts of the payment made to the supplier beyond the appointed day during the period;	Nil	Nil

DYNAMIC AIR ENGINEERING (INDIA) PRIVATE LIMITED

CIN No. : U29192TN2008PTC066303

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH, 2023

(All amounts are in Indian Rupees in thousands, except share data and as stated)

Particulars	For the year ended 31st March 2023	For the year ended 31st March 2022
The amount of interest due and payable for the period of delay in making payment (which have been paid but beyond the appointed day during the year) but without adding the interest specified under this Act;	Nil	Nil
The amount of interest accrued and remaining unpaid at the end of the period	Nil	Nil
The amount of further interest remaining due and payable even in the succeeding years, until such date when the interest dues as above are actually paid to the small enterprise.	Nil	Nil

Note 31: Segment Reporting

The company's operations predominantly consist of manufacturing railway coach accessories. Hence there are no reportable segments under Accounting Standard – 17. During the year under report, substantial part of Company's business has been carried throughout India. The conditions prevailing in India being uniform, no separate geographical disclosures are considered necessary.

Note 32: Key Financial Ratios

Particulars	Year ended 31 March, 2023	Year ended 31 March, 2022	Variance %	Reasons for Variance (if variance is more than 25%)
(a) Current Ratio	1.09	1.10	-1.24%	
(b) Debt-Equity Ratio	3.37	1.09	210.36%	Increase in debt
(c) Debt Service Coverage Ratio	2.62	2.72	-3.56%	
(d) Return on Equity Ratio	7.27%	8.98%	-19.04%	
(e) Inventory turnover ratio	5.69	6.09	-6.59%	
(f) Trade Receivables turnover ratio	5.78	5.62	2.82%	
(g) Trade payables turnover ratio	5.84	4.37	33.74%	Increase in purchases
(h) Net capital turnover ratio	25.73	22.47	14.53%	
(i) Net profit ratio	1.46%	2.44%	-40.20%	Decrease in profit margin
(j) Return on Capital employed	9.53%	11.62%	-17.95%	
(k) Return on investment	NA	NA	NA	

Formulas for above ratios:

Current ratio = Current assets / current liabilities
Debt equity ratio = (Total Debt - Cash and cash equivalents) / (Total equity - Investments in subsidiaries)
Debt service coverage ratio = (Profit before tax + Interest expenses + Depreciation) / (Interest expenses + Repayment of loans made during the year)
Return on equity % = Profit after tax / (Average equity – Investments in subsidiaries)
Inventory turnover ratio = Revenue from operations/ Average inventories
Trade receivables turnover ratio = Revenue from operations / Average trade receivables
Trade payables turnover ratio = Credit Purchases / Average trade payables
Net capital turnover ratio = Revenue from operations / (Current Assets - Current Liabilities)
Net profit % = Net profit / Revenue from operations
Return on capital employed (Net of cash) % = (Profit before tax + Interest expenses) / (Average capital employed – cash and cash equivalents) where Capital employed = Equity + Borrowings.
Return on investment % = Other Income / Average Cash, Cash Equivalents & Other Marketable Securities

Note 33: Other Information

i. The Company has not traded or invested in Crypto currency or virtual currency during the current year.

ii. A) The Company has not advanced or loaned or invested funds to any persons or entities, including foreign entities (Intermediaries) with the understanding that the Intermediary shall:

1) directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the company (Ultimate Beneficiaries) or
2) provide any guarantee, security or the like to or on behalf of the Ultimate Beneficiaries

B) The Company has not received any funds from any persons or entities, including foreign entities (Funding Party) with the understanding (whether recorded in writing or otherwise) that the Company shall:

1) directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party (Ultimate Beneficiaries) or
2) provide any guarantee, security, or the like on behalf of the Ultimate Beneficiaries

iii. The Company does not have any charges or satisfaction which is yet to be registered with Registrar of Companies (ROC) beyond statutory period.

iv. The Company does not have transactions with the companies struck off under section 248 of Companies Act, 2013 or section 560 of Companies Act, 1956, the Company.

v. The Company does not have any transaction which is not recorded in the books of accounts that has been surrendered or disclosed during the year in the tax assessment under the Income Tax Act, 1961.

vi. The Company has not been declared wilful defaulter by any bank or financial institution or other lender.

vii. The Company does not have any Benami Property and does not have any proceedings pending against the Company holding Benami Property.

viii. The Company does not have any scheme of arrangements which have been approved by the Competent Authority in terms of sections 230 to 237 of the Act.

ix. The Company has compiled with the number of layers prescribed under Section 2(87) of the act read with the Companies Rules,2017

Note.34: Previous Years Figures

The company has regrouped/ reclassified previous year's figures to conform to this year's classification wherever necessary.

As per our report of even date

For and on Behalf of the Board

For S. Ravi & Associates
Chartered Accountants
FRN: 009261S

S. RAVI & ASSOCIATES CHENNAI 600 004. CHARTERED ACCOUNTANTS

K. KARTHIKEYAN
MANAGING DIRECTOR
DIN: 01924065

GIRIJA KARTHIKEYAN
DIRECTOR
DIN : 03329379

S RAVI
PROPRIETOR
M.NO: 204618

Place: Chennai
Date: 04-09-2023

DYNAMIC AIR ENGINEERING (INDIA) PVT. LTD. CHENNAI 600 117